IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-V

C.P.(CAA)/3/(ND)2022
IN
C.A.(CAA)/54/(ND)2020

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

In the Matter of Scheme of Arrangement

1. **AMPS GLOBAL PRIVATE LIMITED**
(A Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at 1829, Second Floor, Bhagirath Palace, Delhi-110006) PAN- AADCA1772D.
E-mail- pawan@capitalindia.org

... Transferor Company-1 / Petitioner Company-1

2. **G N INTERNATIONAL PRIVATE LIMITED**
(A Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at 3721/1 Ist Floor, Netaji Subhas Marg, New Delhi-110002) PAN- AABCG4491K
E-mail- pawan@capitalindia.org

... Transferor Company-2 / Petitioner Company -2

3. **HARIOM HOLDFIN PRIVATE LIMITED**

(A Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at R-59 E, Block-R, Dilshad Garden, Delhi-110095) PAN- AABCH4786N
E-mail- hariomholdfin@gmail.com

... Transferor Company-3 / Petitioner Company-3

4. RECTOR INVESTMENTS PRIVATE LIMITED
(A Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at R-59 E, Block R, Dilshad Garden, Delhi-110095). PAN- AAACR6998R.
E-mail- rectorinvestment@gmail.com

... Transferor Company-4 / Petitioner Company-4

AND

5. RAJNISH FINVEST PRIVATE LIMITED
(A Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at R-59 E, Block R, Dilshad Garden, Delhi-110095). PAN- AAACR6998R.
E-mail- rectorinvestment@gmail.com

... Transferee Company/ Petitioner Company-5

CORAM:

JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Counsel for Petitioner/Applicant:	Mr. Mukesh Sukhija, Mr. Milind Gautam, Advocates and Ms. Pooja Bhatia, PCS.
Counsel for RD	Ms. Shankari Mishra, Advocate
Counsel for OL	Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana, Advocates.
Counsel for Income Tax Department	None

ORDER

PER:SH. RAHUL BHATNAGAR, MEMBER (TECHNICAL)

Date:16.01.2023

1. This petition has been jointly filed by AMPS Global Private Limited, GN International Private Limited, Hariom Holdfin Private Limited, Rector Investments Private Limited with Rajnish Finvest Private Limited (Petitioner No. 1 to 5) under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the proposed Scheme of Amalgamation between AMPS Global Private Limited, GN International Private Limited, Hariom Holdfin Private Limited, Rector Investments Private Limited

('Transferor Companies) with M/s. Rajnish Finvest Private Limited ('Transferee Companies'). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company-1 i.e., AMPS Global Private Limited (CIN: U27520DL2001PTC109901) was incorporated under the provisions of the Companies Act, 1956 on 07.03.2001, presently having its registered office situated at 1829, Second Floor, Bhagirath Palace, Delhi -110006. The registered office of the Demerged Company is under the jurisdiction of this Tribunal.

3. The Transferor Company-2 i.e., GN International Private Limited (CIN: U51909DL2001PTC110766) was incorporated under the provisions of the Companies Act, 1956 on 09.05.2001, presently having its registered office situated at 3721/1, Ist Floor, Netaji Subhash Marg, New Delhi-110002. The registered office of the Demerged Company is under the jurisdiction of this Tribunal.

4. The Transferor Company-3 i.e., Hariom Holdfin Private Limited (CIN: U67120DL1996PTC076207) was incorporated under the provisions of the Companies Act, 1956 on 09.02.2006, presently having its registered office situated at 1829, Second Floor,

Bhagirath Palace, Delhi -110006. The registered office of the Demerged Company is under the jurisdiction of this Tribunal.

5. The Transferor Company-4 i.e., Rector Investments Private Limited (CIN: U27520DL2001PTC109901) was incorporated under the provisions of the Companies Act, 1956 on 07.03.2001, presently having its registered office situated at R-59 E, Block-R, Dilshad Garden, Delhi- 110095. The registered office of the Demerged Company is under the jurisdiction of this Tribunal.

6. The Transferor Company i.e., Rajnish Finvest Private Limited (CIN: U65993DLI997PTC209185) was incorporated under the provisions of the Companies Act, 1956 on 11.02.1997, presently having its registered office situated at 3721/1, 1st Floor, Netaji Subhash Marg, Daryaganj, Delhi-110002.

7. The Petitioner Company submits that the proposed scheme of amalgamation of the Transferor Companies with Transferee Company would have the following benefits: -

    a. All the Transferor Companies and the Transferee Company are closely held companies controlled by the same promoters. The .proposed Scheme of Amalgamation would result in business

synergy and consolidation of these companies into one large company with a stronger asset base.;

b. The proposed amalgamation would enable pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity.

c. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of human and other resource and enhancement of overall business efficiency. It will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth of their businesses.

d. The said Scheme of Amalgamation will contribute in fulfilling and furthering the objects of the Transferor and the Transferee Companies. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business. The resulting

amalgamated company will be able to participate more vigorously and profitably in the competitive market scenario.

e. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

f. The said Scheme of Amalgamation will have beneficial impact on all the Transferor and the Transferee Companies, their shareholders, employees and other stake holders and all concerned.

8. The appointed date as fixed for the proposed scheme of Arrangement means April 01, 2019 or such other date as may be directed by any appropriate authority being the date with effect from which this scheme shall be deemed to be effective.

9. A perusal of the petition discloses that the first motion application bearing CA(CAA)/54/ND/2020 was filed by the Petitioner Company. Based on the averments made in the said application the Tribunal vide order dated 22.12.2021 dispensed with the requirement of convening the meetings of the equity shareholders,

secured creditors and unsecured creditors of the Petitioner company.

10. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) concerned income tax department. The Petitioner Companies have filed affidavit of publication dated 21.04.2022 affirming that notice of hearing was duly advertised in "Business Standard" (English, Delhi edition) and "Business Standard" (Hindi, Delhi edition) on 08.02.2022. The Petitioner Company has filed an affidavit of service and publication dated 21.04.2022 in respect of publication and the notice of petition served to the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana and the concerned income tax department.

11. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us. The Petitioner Companies vide affidavit dated 21.04.2022 has submitted that the neither the Petitioner Companies nor their

counsel has received any notice from any person objecting to the proposed scheme of Amalgamation.

12. Pursuant to the notice issued, Regional Director and Official Liquidator, Income TAX have filed their report and participated in the proceedings. The report filed by the RD and the concerned Income Tax Department is not available on the DMS Portal of this Tribunal. However, this Tribunal in its order dated 19.10.2022 had noted the submissions of the Ld. Counsel for the Regional Director wherein it was submitted that they have no objection to the proposed scheme.

13. The Income Tax Department has not submitted its report before this Tribunal even after several reminders. The Petitioner Companies vide affidavit dated 20.10.2022 submitted that the reply of the Income TAX Department in the present matter has been received by the Petitioner Company from the counsel of the IT Department, wherein the IT department has stated that it has no objection to the Scheme. The copy of the advance reply of the Income Tax Department received by the Petitioner Companies is placed on record. had undertake that the petitioner company shall

pay tax demand, if any that may arise on account of pending demands on the Petitioner Company, as per the order of the Income TAX Authority while responding in relation to the said matter filed with the Hon'ble NCLT after the final hearing of the proceeding.

14. The Official Liquidator, High Court of Delhi has filed its report dated 04.05.2022, wherein no specific objection has been raised against the approval of the Scheme. It has been submitted in the report that affairs of all the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest under the provisions of the Companies Act, 1956/ Companies Act, 2013.

15. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

16. Certificates of Statutory auditor of the petitioner company, has been placed on record, to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the

Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules. 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

17. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

18. It has also been affirmed in the petition that the Scheme is in the interest of both the Petitioner Companies, including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the

members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

19. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

(iv) The appointment date as proposed in the Scheme of Arrangement i.e., April 01, 2019 by the petitioner company is confirmed by this Tribunal.

20. This Tribunal do further order:-

a) *That the Transferor Companies shall stand dissolved without following the process of winding-up; and*

b) *That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company; and*

c) *That all the liabilities and duties of all the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

d) *That all proceedings now pending by or against the Transferor Companies, be continued by or against the transferee company; and*

e) *That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the transferee company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and*

f) *That Petitioner companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration*

and on such certified copy being so delivered all the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to all the Transferor Companies registered with him on the file, kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

g) *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

21. *The petition stands disposed of in the above terms.*

Let copy of the order be served to the parties.

Sd/- Sd/-

(SHRI RAHUL BHATNAGAR) **(JUSTICE TELAPROLU RAJANI)**

MEMBER (T) **MEMBER (J)**